

Question 1:

A Ltd. wants to take over B Ltd. And the financial details of both the companies are below:

	A Ltd.	B Ltd.
Equity share capital of Rs. 10 each	2,00,000	1,00,000
Preference share capital	40,000	0
Share premium	0	4,000
Profit and loss account	76,000	8,000
10% Debentures	30,000	10,000
Total Liabilities	3,46,000	1,22,000
Fixed Assets	2,44,000	70,000
Current assets	1,02,000	52,000
Total assets	3,46,000	1,22,000
Profit after tax and preference dividend	48,000	30,000
Market price per share	24	27

You are required to determine the share exchange ratio to be offered to the shareholders of B Ltd. Based on:

- (i) net assets value,
- (ii) EPS, and
- (iii) market price.

Which should be preferred from the point of view of A Ltd.?

Question 2:

Company C is considering the purchase of company Y. The following are the financial data of the two companies:

	Company X	Company Y
Number of shares	4,00,000	1,00,000
Earnings per share (EPS)	6	4.5
Market Value per share	30	20

Assuming that the management of the two companies have agreed to exchange shares in proportion to:

- (i) The relative earnings per share of the two firms;
- (ii) 4 shares of company X for every 5 shares held in company Y.

You are required to illustrate and comment on the impact of merger on the EPS.

Question 3:

Sunny Lamps Ltd. Is taking over Moon Lamps Ltd. As per the understanding between the managements of the two companies, shareholders of Moon Lamps Ltd. would receive 0.7 shares of Sunny Lamps Ltd. for each share held by them. The relevant data for the two companies are as follows:

	Sunny Lamps Ltd.	Moon Lamps Ltd.
Net Sales (in lakhs)	80	30
Profit after tax (in lakhs)	16	4
Number of Shares (in lakhs)	3.2	1
Earnings per share (in lakhs)	5	4
Market value per share (in lakhs)	30	20
Price-Earning Ratio (P/E)	6	5

Ignoring the economies of scale and the operating synergy, you are required to calculate

- (i) Premium paid by Sunny Lamps Ltd. to the shareholders of Moon Lamps Ltd;
- (ii) Number of shares after the merger;
- (iii) Combined EPS;
- (iv) Combined P/E ratio;
- (v) Market value per share; and
- (vi) Total market capitalization after the merger.